

DIDI GLOBAL INC DIDIY

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by

miser861

2026 2027

Price:	4.05	EPS	-.04	.18
Shares Out. (in M):	4,273	P/E	N/A	22.5
Market Cap (in \$M):	17,300	P/FCF	25	10
Net Debt (in \$M):	4,000	EBIT	-300	830
TEV (in \$M):	13,300	TEV/EBIT	N/A	16

Description

Didi is the Uber of China and is run by its 42-year-old CEO and co-founder Wei Cheng, who owns \$1 billion worth of Didi stock. The company has roughly 70% market share in the Chinese ride hailing market. The nearest competitor is an aggregator owned by Alibaba that aggregates dozens of small ride hailing platforms and has roughly 25% market share. Our bullish thesis on Didi is a three part thesis: 1) We view the business model as a high moat, dominant player in the Chinese ride hailing market with an excellent management team combined with, 2) a severely under-monetized domestic market where average rates per mile are 40-50% cheaper than average rates per mile in Mexico, and 3) a very attractive valuation where we calculate a 2028 Sum of The Parts (SOTP) valuation almost 4x the current share price.

Much like Uber in the U.S., Didi has by far the largest driver network in China resulting in materially lower wait times for rides. The classic network effect of higher driver supply leads to greater demand and vice versa is fully at play in cementing Didi's dominant competitive position in China with 70% market share. Didi has its own autonomous vehicle (AV) subsidiary that will be ready to layer in AV supply once the price/mile levels create a positive economic return. Once the economics of AVs become attractive, Didi EBIT per ride could increase 2-3x for AV rides as take rates go from 22% to 100% for Didi owned AVs. However, given the low rates/mile in China we forecast material AV penetration is at least 5 years out. We view the dominant 70% market share position of Didi as sustainable for the next decade at a minimum.

The rates/mile in China are materially below that of similar GDP/capita countries primarily due to a confluence of two factors: 1) a depressed domestic consumption environment and 2) an excess supply of drivers due to relatively high unemployment rates for unskilled workers. It is our contention that rates/mile will trend upwards as the domestic economy improves and close the rate/mile gap versus similar GDP/capita economies like Mexico and Brazil. As rates/mile increase, Didi's revenue increases in direct proportion with incremental EBITDA% margins north of 50%. Below is a chart of potential upside in the rates/mile over the coming decade:

(USD)	China: Tier 1 cities	China: lower tier cities	Mexico City	Sao Paulo	Average U.S.
Est. Rates/Mile	0.6	0.4	1.15	1.35	2.5
GDP/Capita	30k	12k	22.5k	20k	82.5k

Didi's take rate, the percentage of the gross fare that goes to Didi, is materially less than other dominant ride hailing platforms. Didi's take rate in its China business was 22% during 2025 vs. our estimate of Uber's North American take rate north of 30% (though slightly inflated due to the pass-through insurance expenses). We don't expect Didi to mature at the same take rates as Uber in the U.S., but it is comforting to know that we have higher take rate optionality going forward. Growth in rate/mile, take rate expansion, and potential AV penetration are all material future opportunities to grow China ride hailing EBIT all while miles driven in China continue to grow at high single digit rates year over year.

Below is a snapshot of our 2028 SOTP valuation for Didi. We project increasing profitability of the Chinese ride hailing business along with continued growth in the international ride hailing and international food delivery businesses. Currently, the international businesses are not profitable, but we project they will be by 2028. The international ride hailing business is most likely already profitable today as most markets are 50/50 share split duopoly markets shared with Uber. In our forecast, we continue the impressive 6%/year pace of share buybacks that the company is currently executing.

**2028 base case
(RMBm)**

China			
FCF 2028e	RMBm	18,146	
Multiple		16.5x	
Value	RMBm	299,409	
Intl mobility			
GTV 2028e	RMBm	160,979	
Multiple		0.8x	
Value	RMBm	128,783	
Intl delivery			
GTV 2028e	RMBm	113,848	
Multiple		0.25x	
Value	RMBm	28,462	
Net cash			
	RMBm	28,265	
SOTP			
	RMBm	484,919	
Estimated FDSO			
m		3,870	
Target share price			
RMB		125.3	
FX rate			
assume		7.0	
Target px in USD			
USD		17.9	

**2026 low case
(RMBm)**

China			
FCF 2026e	RMBm	15,000	
Multiple		7.5x	
Value	RMBm	112,500	
Intl mobility			
Value	RMBm	0	
Intl delivery			
Value	RMBm	0	
Net cash 2026e			
discount	RMBm	28,913	
Value		50%	
		14,457	
SOTP			
	RMBm	126,957	
Estimated FDSO			
m		4,273	
Target share price			
RMB		29.7	
FX rate			
assume		6.8	
Target px in USD			
USD		4.4	

The stock has sold off recently due to fears that increasing losses at the international food delivery business may indicate a lengthy period of sustained losses in that division, and that the seemingly irrational cash burn will eventually end up being empty calories. The company has stated that 4Q25 was the peak in marketing spend-related losses in the international food delivery business. Our forecasts assume the same.

Summing up, we are getting 4x upside over three years in our base case valuation. Given that net cash is roughly 37% of today's market cap it is very difficult to get logical downside at today's stock price. There is of course one elephant in the room risk. A Chinese invasion of Taiwan could lead the U.S. to sanction investment in all Chinese companies similar to what happened when Russia invaded the Ukraine.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

Hardening of rates, buybacks

Messages

Subject	relisting and operating cash flow
Entry	08/17/2026 04:56 PM
Member	om730

Thank you for the write up. Do you have any insight into the potential timing of a relisting and why it is taking so long?

There is a big divergence between the improvement in operating results and the swing to negative operating cash flow generation in 1H26. Have you gotten any feedback from the Company?

Subject	Re: relisting and operating cash flow
Entry	08/17/2026 06:21 PM
Member	miser861

Re the HK listing, unfortunately we don't know more than the street. The sectors currently at the top of the Chinese government's agenda are obviously AI, semiconductors, and hard tech that can drive export growth and earn face for China immediately. Didi is unlikely to rank high on policymakers' near-term agenda. Shein's recent approval was likely related to the redemption clause if no IPO occurred by 2026. Hence, we do not have a good estimate of when the IPO will happen.

Nevertheless, with FCF per share quickly rising from negative territory today to ~\$1 by 2029, we believe a rerating is justified.

Re negative CFO in 1H26: you are def right that the company's net cash has dropped quite significantly from 4Q25 RMB ~42b to 2Q26 ~26b. according to IR, the negative CFO was mainly due to loss from Brazil delivery (obviously) and growth in loan book, mainly MX consumer loans. the loan book seems to have doubled from ~\$0.75b as of 3Q25 to ~\$1.5b now. Though the Didi's Latam Fintech subsidiary has raised externally last year, Didi still has majority so it makes sense to consolidate the financials of the subsidiary in Didi group financials.